

July 29, 2026 02:38 AM GMT

SK hynix | Asia Pacific

2Q26 – Slight Miss before Stronger Back Half

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest shortfall

Financial results versus consensus



Modest revision lower

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- HBM4 ramps on schedule drive mix improvement and much higher DRAM ASP from 2H26 vs. HBM3e mix attributed to lower 2Q26 ASP.
- ~10 LTAs materially improve profit and FCF visibility with further AI customers multi-year supply lock-in 2H26.
- Inventories continue to decline across servers, PC, mobile, and NAND on supply constraints.
- We estimate DRAM OPM ~80%, whereas NAND at ~70% for the quarter.
- Capex unchanged in the high W40tr for 2026.

Bottom line: Another record high W60.5tr operating profit (76% margin) +61% QoQ/+557% YoY driven by both pricing, bit shipment growth, but missed consensus on both top line and OP mainly due to DRAM ASP growth (+30% QoQ) impacted by legacy HBM3e mix. We estimate HBM was ~17% of DRAM revenue in the quarter (vs. 1Q26 20%) and expect a meaningful ramp up to 20%+ of DRAM mix in 2027. Capex remains at high-W40tr level, with infrastructure and equipment spending with about 50/50 split. At 4.9x 2026e P/E (3.4x for 2027e), Hynix stock is assuming a cyclical downturn, still undervaluing the sustainable growth in AI demand and LTAs, we believe. Shareholder return possible in the near-term, in our view, given significant cash built (W100tr+ by 3Q26) and post ADR regulatory filing process.

Stay OW: The stock market is anticipatory – it is not thinking about the quarter we are in, but rather looking ahead to later in the year. With memory price hikes are moderating into 2027, but we expect more positive return on capital from buybacks that are durable via LTAs to drive sustained returns. we view near-term risks to consensus as fairly reflected in valuation.

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SK hynix (000660.KS, 000660 KP)

S. Korea Technology | S. Korea

Stock Rating	Overweight
Industry View	Attractive
Price target	W2,600,000
Up/downside to price target (%)	68
Shr price, close (Jul 28, 2026)	W1,550,000
52-Week Range	W2,987,000-245,000
Sh out, dil, curr (mn)	711
Mkt cap, curr (bn)	W1,101,972
EV, curr (bn)	W1,069,229
Avg daily trading value (bn)	W4,346

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (W)**	59,300	318,486	459,012	498,894
Prior EPS (W)**	-	-	-	-
EPS (W)\$	56,505	317,543	455,640	473,683
Revenue, net (W bn)	97,147	347,635	515,354	586,029
EBITDA (W bn)	61,121	296,571	448,533	499,645
ModelWare net inc (W bn)	42,944	226,427	326,334	354,688
P/E	11.0	4.9	3.4	3.1
P/BV	4.1	3.3	1.7	1.1
RNOA (%)	59.6	240.1	118.0	79.4
ROE (%)	58.1	198.8	96.5	53.5
EV/EBITDA	7.3	3.5	2.0	1.4
Div yld (%)	0.5	0.2	0.1	0.1
FCF yld ratio (%)**	4.4	1.7	14.0	17.9

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Leverage (EOP) (%) (10.7) (12.3) (29.5) (38.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

SK hynix (000660.KS)

Base case, residual income valuation model. We assume a cost of equity of 11.5% (5% risk-free rate, 6.5% risk premium, 1.0 beta) and a terminal growth rate of 3%.

Risks to Upside

- ASP growth re-acceleration
- Preemptive production cuts or disruption
- Sharp demand improvements
- Significant increase in capital returns

Risks to Downside

- End demand turning weaker than expected
- Rising competition for DDR5, causing overspending on the supply side.
- Inventories remaining elevated at cloud and Chinese smartphone customers.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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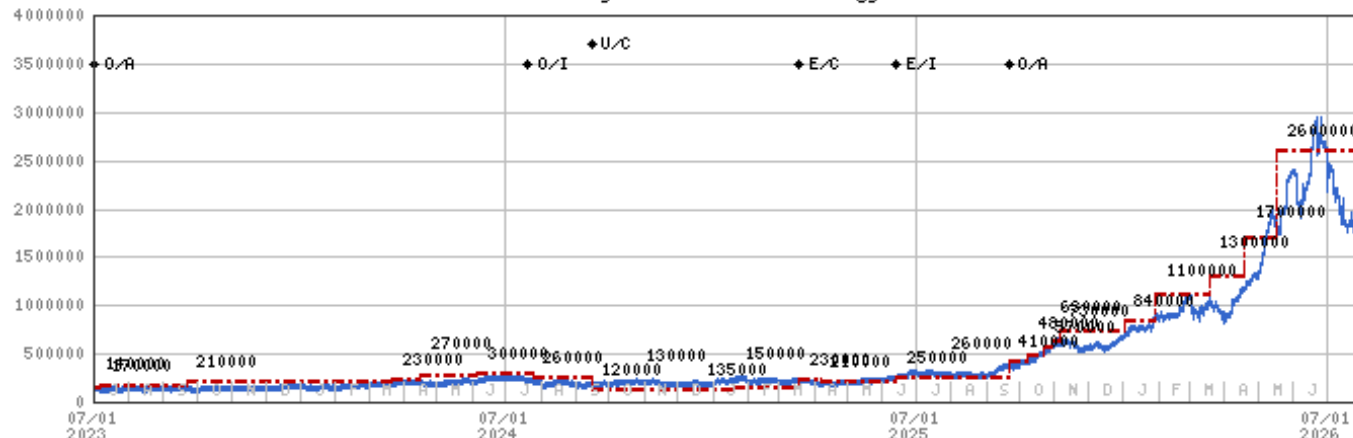
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SK hynix (000660.KS) - As of 07/29/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 7/1/21 : O/A; 7/19/21 : O/I; 8/12/21 : U/C; 12/3/21 : E/C; 2/11/22 : O/C; 7/22/22 : E/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : U/C; 3/19/25 : E/C; 6/13/25 : E/I; 9/21/25 : O/A

Price Target History: 6/8/21 : 156000; 8/12/21 : 80000; 9/15/21 : 88000; 12/3/21 : 110000; 12/23/21 : 125000; 1/24/22 : 130000; 1/28/22 : 136000; 2/11/22 : 155000; 3/18/22 : 150000; 4/27/22 : 130000; 6/10/22 : 120000; 7/5/22 : 110000; 7/22/22 : 105000; 10/4/22 : 130000; 12/7/22 : 120000; 3/21/23 : 110000; 5/30/23 : 140000; 7/7/23 : 170000; 9/21/23 : 210000; 3/22/24 : 230000; 4/16/24 : 270000; 6/6/24 : 300000; 7/25/24 : 260000; 9/15/24 : 120000; 10/24/24 : 135000; 12/18/24 : 130000; 1/20/25 : 150000; 3/19/25 : 230000; 4/7/25 : 210000; 6/13/25 : 250000; 7/24/25 : 260000; 9/21/25 : 410000; 10/8/25 : 480000; 10/23/25 : 570000; 10/29/25 : 630000; 11/5/25 : 730000; 1/2/26 : 840000; 1/30/26 : 1100000; 3/18/26 : 1300000; 4/19/26 : 1700000; 5/18/26 : 2600000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: S. Korea Technology

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Ryan Kim		
Ecopro BM (247540.KQ)	U (03/20/2023)	W101,800
Fadu Inc (440110.KQ)	O (09/21/2025)	W56,300
Hanmi Semiconductor Co. Ltd. (042700.KS)	E (07/22/2026)	W179,500
HD Hyundai Electric Co Ltd (267260.KS)	O (03/25/2025)	W705,000
Isu Petasys Co. Ltd. (007660.KS)	O (02/03/2025)	W71,400
L&F Co Ltd (066970.KS)	E (04/03/2025)	W71,600
Leeno Industrial Inc. (058470.KQ)	O (04/03/2025)	W61,600
Lotte Energy Materials Corp (020150.KS)	U (04/03/2025)	W26,550
LS Electric (010120.KS)	O (01/22/2026)	W175,500
POSCO FUTURE M (003670.KS)	U (04/03/2025)	W132,900
SK IE Technology (361610.KS)	U (04/03/2025)	W13,450
SK Square Co Ltd. (402340.KS)	O (05/06/2026)	W925,000
Wonik IPS Co Ltd (240810.KQ)	O (08/08/2025)	W89,500
Shawn Kim		
LG Display (034220.KS)	E (06/11/2025)	W9,000
LG Electronics (066570.KS)	E (04/07/2025)	W157,500
LG Innotek (011070.KS)	E (03/12/2025)	W514,000
Samsung Electro-Mechanics (009150.KS)	O (07/31/2025)	W1,114,000
Samsung Electronics (005935.KS)	O (11/18/2019)	W158,200
Samsung Electronics (005930.KS)	O (11/18/2019)	W220,000
SK hynix (000660.KS)	O (09/21/2025)	W1,550,000

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* Historical prices are not split adjusted.

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